3.2 Features of the Factors of Production

Factors of production means resources used in the process of production of commodities. They are of four types viz., land, labour, capital and organization or enterprise. Here, land represents natural resources (such as soil, mineral deposits, seas, rivers, natural forests, fisheries etc). Labour represents human resources. Together, these two factors viz land and labour are called the *'primary factors of production'*.

These two factors produce some units of goods for the purpose of consumption. And as consumption of these goods takes place, there is the possibility of some of these goods getting left over. Thus, saving is production minus consumption. This saved amount is called capital, which serves as investment in the production process. Also, organisation or enterprise is a special form of labour. The third and fourth factors viz Capital and organisation are called *'secondary factors of production'*.

These four factors depend on each other. They have a coordinated impact on production of goods and services.

3.2.1 Land

In ordinary sense 'land' refers to the soil or the surface of the earth or ground. But, in Economics, land means all gifts of Nature owned and controlled by human beings which yield an income. Land is the original source of all material wealth. The economic prosperity of a country depends on the richness of her natural resources. The quality and quantity of agricultural



wealth are determined by the nature of soil, climate and rainfall. The agricultural products are the basis of trade and industry. Industry survives on the availability of coal-mines or waterfall for electricity production. Hence, all aspects of economic life like agriculture, trade and industry are generally influenced by natural resources which are called "Land" in economics.

Characteristics of Land

- Land is a primary factor of production.
- Land is a *passive* factor of production.
- Land is the free gift of Nature.
- Land has no cost of production.
- Land is fixed in supply. It is inelastic in supply.
- Land is permanent.
- Land is immovable.
- Land is heterogeneous as it differs in fertility.
- Land has alternative uses.
- Land is subject to Law of Diminishing Returns.

3.2.2 Labour

Labour is the active factor of production. In common parlance, labour means manual labour or unskilled work. But in Economics the term 'labour' has a wider

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